19 Companies S and T are both being considered as potential suppliers by Company P, a major manufacturing company. Company P wishes to award a contract to a single company to provide it with packaging materials for at least the next 5 years.

Company P wishes to evaluate both companies' financial risks. Company P will rely heavily on the winning company and so it will be costly if that company fails.

Company S owns its factory. Company T rents a factory from a third party, paying annual rent of $7 million. Company T owns no property.

(i) Using the financial statements for Companies S and T, calculate the following ratios for Companies S and T:

- Asset gearing ratio
- Interest cover
- Current ratio, excluding the tax liability from the calculation.

[6]

(ii) Evaluate the financial risks faced by both companies and identify, with reasons, the company facing the lower risk. [10]

(iii) Recommend, with reasons, whether or not the current ratios of the two companies should include the tax liability. [4]

[Total 20]

Statements of profit and loss
For the year ended 31 March 2026

	Company S	*Company T*
	$ million	*$ million*
Revenue	120	98
Cost of sales	(45)	(43)
Gross profit	75	55
Distribution costs	(11)	(10)
Administrative expenses	(12)	(11)
Operating profit	52	34
Finance costs	(9)	(3)
Profit before tax	43	31
Income tax expense	(10)	(6)
Profit for the year	33	25

Statements of financial position
as at 31 March 2026

	Company S	*Company T*
	$ million	*$ million*
Non-current assets		
Property, plant and equipment	225	128
Current assets		
Inventory	5	9
Trade receivables	11	5
Bank	4	2
	20	16
Total assets	245	144
EQUITY AND LIABILITIES		
Equity		
Ordinary share capital	90	55
10% preference share capital	70	–
Retained earnings	27	18
Total equity	187	73
Non-current liabilities		
5% loans (repayable 2036)	40	60
Current liabilities		
Trade payables	8	5
Tax (payable December 2026)	10	6
	18	11
Total of equity and liabilities	245	144